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**U.S. SECURITIES AND
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Diversify Your Investments

Diversification can be neatly summed up as, “Don’t put all your eggs in one basket.” The idea is that if one investment loses money, the other investments will make up for those losses. Diversification can’t guarantee that your investments won’t suffer if the market drops. But it can improve the chances that you won’t lose money, or that if you do, it won’t be as much as if you weren’t diversified.

For more information on diversification, see [Asset Allocation \(/investing-basics/guiding-principles/asset-allocation\)](/investing-basics/guiding-principles/asset-allocation) .

[Understand What It Means to Invest \(/introduction-investing/investing-basics/save-and-invest/understand-what-it-means-invest\)](/introduction-investing/investing-basics/save-and-invest/understand-what-it-means-invest)

[Up \(/Introduction-Investing/Investing-Basics/Save-And-Invest\)](/Introduction-Investing/Investing-Basics/Save-And-Invest)

[Gauge Your Risk Tolerance \(/introduction-investing/investing-basics/gauge-your-risk-tolerance\)](#)